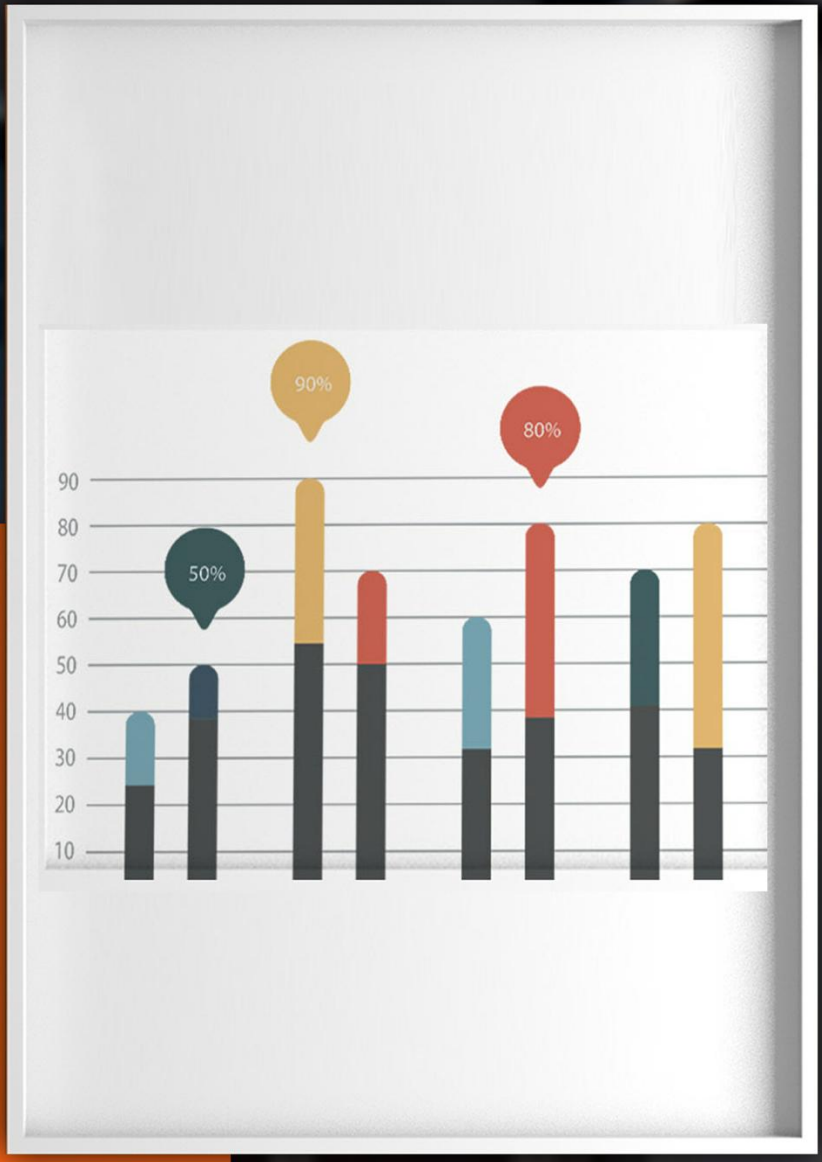
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AIB-AXYS Africa Primary Bond Auction Note

AIB-AXYS August 2025 Primary Bond Auction Note

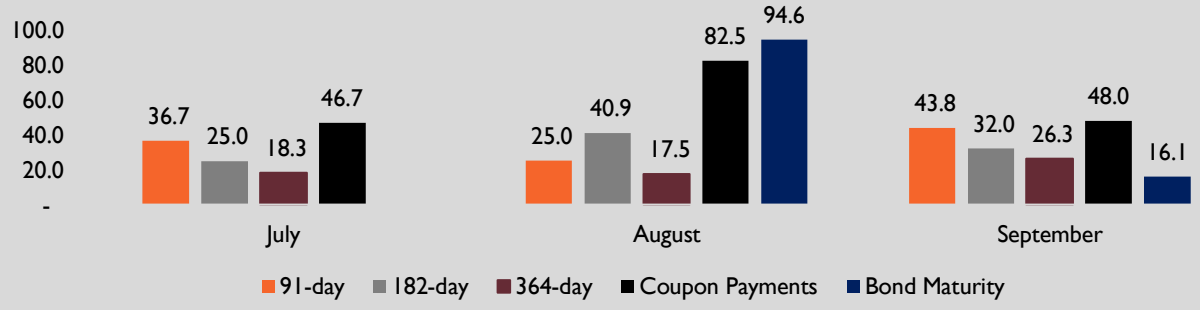
Summary – *"Infrastructure Push Meets Fiscal Pressures"*

- **The Exchequer is seeking to raise KES 90.00Bn through the re-opening of the IFBI/2028/15 & IFBI/2022/019** treasury bonds earmarked for infrastructure projects in FY25/26.
- **The government plans to expand infrastructure expenditure in FY2025/26 by 12.2% y/y to KES 535.6 Bn, accounting for the largest share of development spending.** This comes at a time when it faces a challenging August marked by significant maturities totaling KES 260.5 Bn. Notably, the government remains behind its prorated borrowing target, which may compel it to accept more aggressive bids in upcoming auctions to meet its financing needs. Historically, revenue collections have fallen short of targets while expenditure has exceeded budgeted levels, a trend that is likely to persist given the heavy reliance on the domestic debt market. , the Finance Bill 2025 introduced only modest additional tax measures, expected to raise KES 24.0 Bn, compared to the KES 300.0 Bn increase in spending. This widening fiscal gap could present opportunities for investors, particularly in light of the government's restrained approach to new taxation and the potential for higher yields as it seeks to bridge the deficit
- **Our recommended competitive bidding yield on the paper is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

IFB1/2018/015 & IFB1/2022/019	
Issuer:	Republic of Kenya
Total Amount:	KES 90.0 billion
Purpose:	Infrastructure Projects FY25/26
Tenor:	**IFB1/2018/15**- (7.5 Years) – Re-opened **IFB1/2022/019**- (15.6 Years) – Re-opened
Coupon Rate:	**IFB1/2018/015** – 12.5000% **IFB1/2022/019** – 12.9650%
Price Quote:	Discounted/Premium/Par
Period of sale:	21-July-2025 to 13-August-2025
Minimum Amount:	KES 50,000.00
Taxation:	0.00%
Maturity Dates:	**IFB1/2018/15** – 10-January-2033 **IFB1/2022/019**- 28-Janaury-2041
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**IFB1/2018/15**– 13.45%-13.65% **IFB1/2022/019**– 13.65%-13.85%

Chart 1: Governmnent Obligations Q3 2025 (KES Bn)

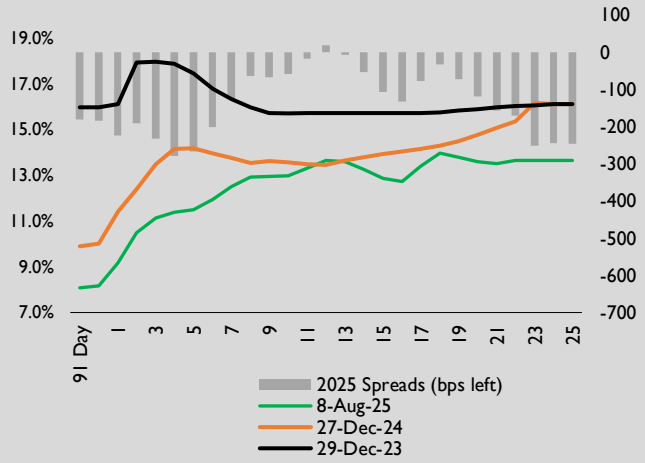


Source: CBK, AIB-AXYS Africa Research

Term Structure of Interest Rates

The yield curve continued to ease in July, following the Central Bank of Kenya's sixth consecutive rate cut in June. The short end registered the sharpest drop, with an average year-to-date decline of 169.03 bps, largely driven by reduced short-term borrowing by the exchequer, which remains focused on lengthening the maturity profile of its debt. The mid and long ends of the curve also recorded declines, averaging 132.49 bps and 138.92 bps YTD, respectively. However, the pace of the declines has begun to slow, as higher government borrowing has encouraged investors to submit more aggressive bids in primary bond auctions. Looking ahead, we expect this trend to persist in the medium term, as the government is likely to continue leaning on domestic debt markets to finance its fiscal deficit amid recurrent shortfalls in tax revenue collection.

Chart 2: Domestic Yield Curve Evolution

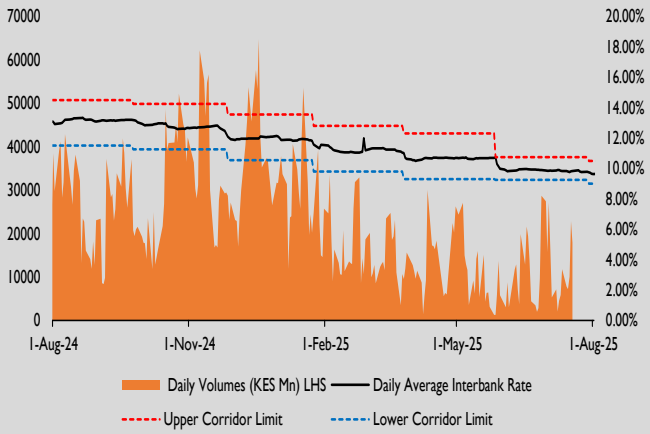


Source: CBK, AIB-AXYS Africa Research

Market Liquidity

On a monthly basis, interbank lending activity contracted by 5.3% in July, following an expansion in June. The average interbank lending rate eased by 9bps to 9.63% in July, down from 9.72% in June, reflecting the impact of the 25bps policy rate cut by the CBK in June, whose effects are still filtering through the market. Liquidity in the banking sector has been supported by a 100bps reduction in the Cash Reserve Ratio (CRR) and the CBK's move to narrow the interest rate corridor both of which have enhanced stability in the money market. With liquidity conditions improving, banks have continued to channel more funds into government securities, while credit to the private sector remains subdued. Looking ahead, we expect interbank lending activity to increase, albeit at a slower pace, with the interbank rate likely to hold steady within the 9.62%–9.65% range

Chart 3: Interbank Rate and Volumes

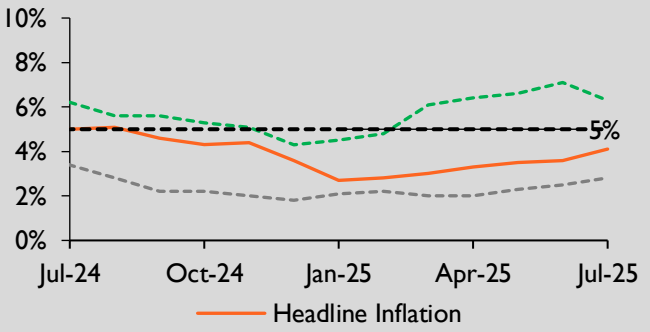


Source: CBK, AIB-AXYS Africa Research

Price Levels

According to the latest data from the Kenya National Bureau of Statistics, the annual headline inflation rate, as measured by the Consumer Price Index (CPI), edged up by 30bps to 4.1% in July. Despite the increase, this was an improvement compared to the 4.3% inflation recorded in July 2024. Core inflation was hotter than in June, jumping by 10bps to 3.1% from 3.0% in June. Food inflation was on the rise, increasing by 20bps to 6.8% from 6.6%, while fuel inflation climbed by 90bps to 4.1%. Going forward, we expect inflation to continue to remain contained within the CBK's target range, bolstered by sufficient foreign reserves, a stable currency, and favorable weather conditions

Chart 4: Price Levels

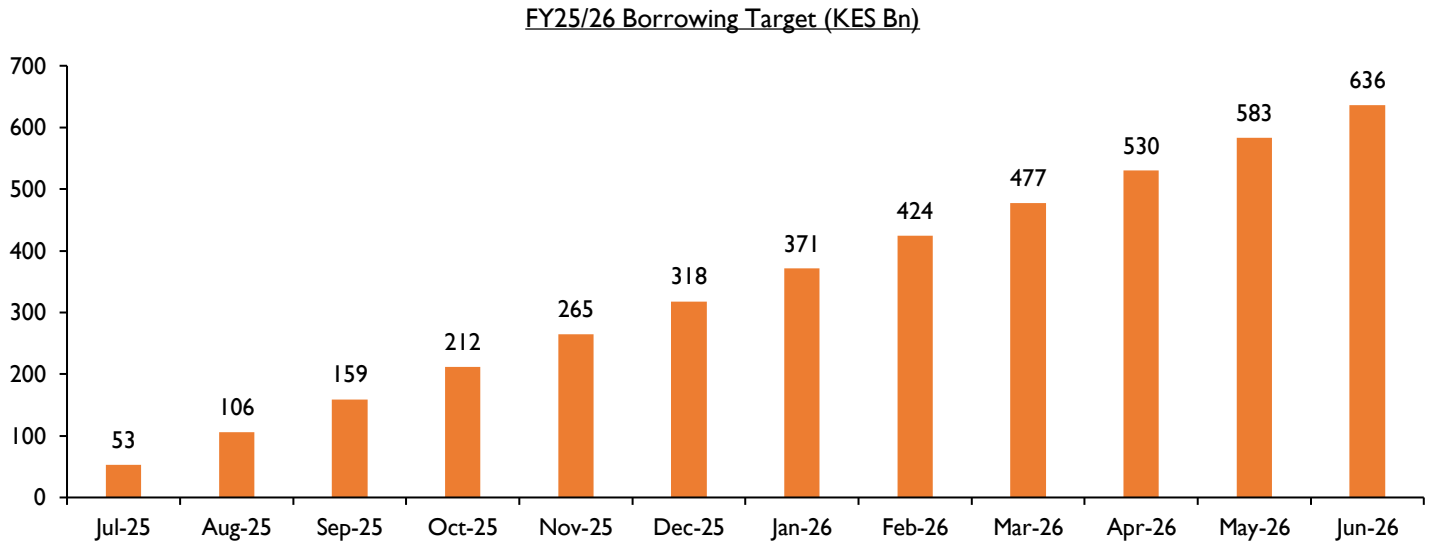


Source: Kenya National Bureau of Statistics, AIB-AXYS Africa Research

Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the IFB1/2018/015 - (7.4 Years)					
IFB1/2017/012	12-Feb-2029	3.5	6,249.55	12.000%	14.2100%
IFB1/2018/015	**10-Jan-2033**	**7.4**	**41,169.47**	**12.5000%**	**12.6000%**
IFB1/2018/020	25-Oct-38	13.2	36,787.30	11.9500%	12.8500%
Comparable Yields for the IFB1/2022/19- (15.5 Years)					
IFB1/2021/021	18-Aug-42	17.0	106,742.20	12.7370%	11.8500%
IFB1/2018/015	**28-Jan-41**	**15.5**	**98,377.55**	**12.9650%**	**12.9039%**
IFB1/2022/014	27-Oct-36	11.2	159,514.35	13.9380%	13.4579%

Source: CBK, AIB-AXYS Africa Research



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)	Deviation from Yield Curve
Aug-24	50,000	IFB1/2023/6.5 - Re-opened	5.8		17.933%	18.469%	18.299%	76.58
		IFB1/2023/17 - Re-opened	15.7	**252.6%**	14.399%	18.158%	17.728%	32.39
Sep-24	15,000	IFB1/2023/17 -Tap Sale	15.7	**234.6%**	14.399%			
	30,000	FXD1/2024/010 - Re-opened	9.5		16.000%	16.972%	16.870%	17.82
		FXD1/2016/020 - Re-opened	12.0	**75.5%**	14.000%	17.349%	17.285%	175.8
Oct-24	30,000	FXD1/2016/010 Re-opened	1.8		15.039%	17.064%	16.984%	14
		FXD1/2022/010 Re-opened	7.6	**169.9%**	13.490%	17.340%	16.952%	1
	15,000	FXD1/2022/010 Tap sale	7.6	**110.0%**	13.490%			
Nov-24	25,000	FXD1/2023/010 Re-opened	8.3		14.151%	16.150%	15.972%	-17
		FXD1/2022/015 Re-opened	12.5	**132.2%**	13.942%	16.385%	16.299%	-21
	20,000	FXD1/2024/010 Re-opened	9.4	**277.9%**	16.000%	16.113%	15.855%	25
Dec-24	25,000	FXD1/2023/010 Re-opened	8.2		14.151%	14.864%	14.691%	84
		FXD1/2018/020 Re-opened	13.3	**285.3%**	13.200%	15.271%	15.112%	85
	20,000	FXD1/2024/010 Re-opened	9.3	**268.1%**	16.000%	14.782%	14.685%	4
Jan-25	30,000	FXD1/2018/015 Re-opened	8.3		12.650%	14.329%	14.210%	75
		FXD1/2022/025 Re-opened	22.8	**196.7%**	14.188%	15.743%	15.683%	8
Feb-25	70,000	IFB1/2022/014 Re-opened	11.8		13.938%	14.086%	13.978%	27
		IFB1/2023/017 Re-opened	15.1	**277.0%**	14.399%	14.416%	14.281%	118.5
Mar-25	25,000	FXD1/2018/025 Re-opened	18.3	**188.1%**	13.400%	13.938%	13.803%	51
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%	82.39
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%	124.3
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%	65.33
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%			
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%	145.42
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%	130.24
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%	137.9
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%	70.9
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%	152.55
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%	140.19
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%	137.85
Average*	**38,333**		**12.3**	**191.8%**	**14.046%**	**15.246%**	**15.120%**	**72.006**

*Source: CBK, AIB Research, * - Yearly average results excludes tap sales*

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